

## SECTION B [85 marks]

AIT4-19

This section consists of 4 questions. Answer all questions.

## QUESTION 1 (20 marks)

- (a) Perniagaan Mekar reports the following information in the Statement of Financial Position as at 31 December 2018.

|         |                              |    |           |
|---------|------------------------------|----|-----------|
|         | Accounts Receivable          | RM | 1,000,000 |
| Deduct: | Allowance for Doubtful Debts |    | 60,000    |
|         |                              |    | 940,000   |

The followings are transactions related to accounts receivable for Perniagaan Mekar for the year 2018.

|    |                                   |              |
|----|-----------------------------------|--------------|
| 1. | Credit sales                      | RM 2,600,000 |
| 2. | Receipts from accounts receivable | 2,300,000    |
| 3. | Bad debt                          | 65,000       |
| 4. | Bad debt recovery                 | 25,000       |

Required :

- Record the above transactions in general journal (narration omitted).
- Prepare the adjusting entry for bad debt expense on 31 December 2018 if the allowance is set on 5% of the balance of accounts receivable (narration omitted).

[10 marks]

- (b) The Cash Book balance of Tasek Enterprise is different from the business' Bank Statement balance on 30 April 2018.

## CASH BOOK (bank column)

| Date    | Details     | Total            | Date    | Details        | Cheque No. | Total            |
|---------|-------------|------------------|---------|----------------|------------|------------------|
| 2018    |             | RM               | 2018    |                |            | RM               |
| April 1 | Balance b/f | 8 010            | April 1 | Drawings       | 126201     | <del>680</del>   |
| 10      | Sales       | <del>870</del>   | 15      | Rental         | 126202     | <del>1 500</del> |
| 14      | Bella       | <del>150</del>   | 18      | Lee Stores     | 126203     | <del>300</del>   |
| 26      | Suki        | <del>(230)</del> | 27      | Sunmart Stores | 126204     | * 420            |
| 28      | Marcos      | <del>(450)</del> | 28      | Gopal Company  | 126205     | <del>(320)</del> |
|         |             |                  | 30      | Baki c/f       |            | 6 500            |
|         |             | 9 720            |         |                |            | 9 720            |

## BANK STATEMENT

| Date    | Description       | Cheque No         | Debit            | Credit           | Balance |
|---------|-------------------|-------------------|------------------|------------------|---------|
| 2018    |                   |                   | RM               | RM               | RM      |
| April 1 | Balance b/f       |                   |                  |                  | 8 090   |
| 1       | <del>Cheque</del> | <del>126200</del> | <del>80</del>    |                  | 8 010   |
| 2       | Cheque            | 126201            | <del>680</del>   |                  | 7 330   |
| 8       | Cheque book       |                   | <del>(15)</del>  |                  | 7 315   |
| 17      | Cheque            | 126202            | <del>1 500</del> |                  | 5 815   |
| 18      | Deposit           |                   |                  | <del>870</del>   | 6 695   |
| 22      | Cheque            | 126203            | <del>300</del>   |                  | 6 395   |
| 23      | Dividend          |                   |                  | <del>(220)</del> | 6 615   |
| 25      | Deposit           |                   |                  | <del>170</del>   | 6 765   |
| 26      | Bank Charges      |                   | <del>(10)</del>  |                  | 6 755   |
| 27      | Insurance         |                   | <del>(220)</del> |                  | 6 535   |
| 28      | Cheque            | 126204            | * 402            |                  | 6 133   |

Additional information:

1. The amount of cheque issued (cheque number 126204) to Sunmart Stores is incorrectly recorded in cash book.
2. All of the entries in the Bank Statement are correct.

**Required:**

- (i) Prepare a Bank Reconciliation as at 30 April 2018.
- (ii) Prepare the adjusting journal entries on the 30 April 2018 (narration omitted).

[10 marks]

### QUESTION 2 (20 marks)

The beginning inventory at Syarikat Teraju Sdn. Bhd on 1 January 2018 is 50 units at the cost of RM5.00 per unit. Syarikat Teraju Sdn. Bhd reports the following information for the month of January:

| Date      | Purchases/Sales | Quantity@RM |     |
|-----------|-----------------|-------------|-----|
| January 8 | Sales           | 20 @ RM5.00 | 100 |
| 16        | Purchases       | 30 @ RM6.00 | 180 |
| 24        | Sales           | 40 @ RM5.50 | 220 |
| 30        | Purchases       | 20 @ RM7.00 | 140 |

**Required:**

- (i) Determine ending inventory and cost of goods sold and ending inventory under a periodic inventory system using FIFO method
- (ii) Determine ending inventory and cost of goods sold and ending inventory under a perpetual inventory system using Average method.

### QUESTION 3 (20 marks)

- (a) On 1 January 2018, Syarikat Le'Kir purchased a machine at a price of RM50,000 which has a useful life of 4 years and the residual value of the machine is RM7,000. The depreciation rate is 39%.

**Required:**

Calculate the depreciation expense, accumulated depreciation and book value for each year under the declining balance method using the table below.

| Year | Depreciation Expense (RM) | Accumulated Depreciation (RM) | Book Value (RM) |
|------|---------------------------|-------------------------------|-----------------|
|      |                           |                               |                 |
|      |                           |                               |                 |
|      |                           |                               |                 |

[10 marks]

- (b) An equipment bought on 1 January 2013 at the cost of RM40,000 was exchanged with a new equipment on the 31 December 2018. The trade-in value of the old equipment is RM19,000 while the cost of new equipment was RM30,000. The balance of the new equipment's value after considering the exchange value has been paid in cash. Accumulated depreciation value of the old equipment until date of sale was RM24,000.

**Required:**

Prepare the journal entries to record the transaction above (narration omitted).

[10 marks]

**QUESTION 4 (25 marks)**

- (a) The business has made RM250,000 sales in 2018. According to prior experience with the product, about 2% - 4% goods sold are defective. Therefore, the business reasonably estimates 3% of sales are defective within the warranty period and they will be replaced or repaired.

**Required:**

- (i) Prepare journal entries to record sales and warranty expense (narration omitted).
- (ii) The actual warranty expenses is RM7,000, prepare the journal entry if defective goods are repaired (narration omitted). — *cash*
- (iii) The actual warranty expenses is RM7,000, prepare the journal entry if defective goods are replaced (narration omitted). — *inventory*

[10 marks]

- (b) Farmaniaga Bhd issues a RM250,000, 12%, 10-year mortgage on December 21, 2018 to obtain needed financing for a new research laboratory. The monthly installment is RM2,550 (including annual interest 12%).

**Required:**

- (i) Prepare Mortgage Installment Payment Schedule for the first two monthly installment using the table below (round up the answer to nearest Ringgit).

| Monthly Interest Period | Monthly Payment | Interest Expense | Reduction of Principal | Principal Balance |
|-------------------------|-----------------|------------------|------------------------|-------------------|
|                         |                 |                  |                        |                   |
|                         |                 |                  |                        |                   |

- (ii) Prepare the journal entries to record the second installment payment including principal and interest expense (narration omitted).

[15 marks]